WEEK 3 · LECTURE L3 · UNIT I

The Ethics and Culture of HR Technology Adoption

Consent and privacy at work, the line between measurement and surveillance, the DPDP Act 2023, and why imported tools meet local cultures.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

1. Explain why consent is weak in the employment relationship, and what must carry the ethical weight instead.
2. Distinguish measurement from surveillance, using the two monitoring ladders and Ball’s four questions.
3. Apply the DPDP Act 2023 to employee data, including what it does and does not provide, and when it binds.
4. Apply four ethical lenses, Nissenbaum, Foucault and Zuboff, the Article 29 Working Party, Hofstede and Manuti and de Palma to digital HR adoption.

ONE SOURCE

The same theories as the in class lecture and the course hub, without the simulation data used in class. Course outcomes: CLO 5 and CLO 3.

COMMIT BEFORE THEORY

Commit to an answer first

Employees agree in their joining papers that “the company may use your data for HR purposes”. Later the firm uses their chat messages to predict who will resign. Is that use fine?

A

Yes: they consented to HR purposes

B

Questionable: the use breaks the norms of the context in which the data were shared, whatever the broad consent says

C

Yes, if the prediction is accurate

D

No data about employees may ever be used

EXAM LENS

The answer is B. Contextual integrity, below, explains why broad consent does not settle the question.

THE TURN OF THE LECTURE

The warehouse that answers your question also watches your people

One capability

Individual level records, joined across systems and kept over time, are the precondition for people analytics and the definition of a surveillance capability. You cannot build one without the other.

The only real question

How the capability is governed: purpose, proportion, visibility and the power to contest.

CONSENT AT WORK IS NOT CONSENT IN A SHOP

Why consent cannot carry the ethical weight

Power asymmetry

A person who can be appraised, promoted or released by the party asking cannot refuse comfortably.

Bundling

Consent buried in an onboarding pack beside genuine conditions of employment is not specific to anything.

Purpose drift

Data given for one purpose becomes a feature in a model built two years later.

EXAM LENS

Indian law recognizes this indirectly: Section 7 of the DPDP Act 2023 lets an employer process data for employment purposes as a legitimate use without separate consent. So purpose limitation, proportionality and transparency must do the work: collect narrowly, state the purpose, limit retention, allow review. A signed consent form is the beginning of the ethical question, not the end.

WHERE MEASUREMENT BECOMES MONITORING

Two ladders of monitoring

Rung, by kind of record	Example
1 · Aggregate, historical	Department attrition by quarter: nobody identifiable
2 · Individual, historical	One person’s training and appraisal record
3 · Individual, behavioral	Login times, message volume: conduct, not outcomes
4 · Individual, inferential	A flight risk score attached to a named employee

Rung, by intrusiveness	Example
1 · Aggregate team data	Least intrusive
2 · Individual activity	Logins, keystrokes
3 · Content of work	Messages, calls
4 · Body and location	GPS, biometrics, cameras

EXAM LENS

Each rung up needs a stronger justification. Locate any proposed use on both ladders, then argue the safeguards that rung requires. Goodhart’s law applies at every rung: people manage the measure rather than the work.

Both ladders are Course framing.

BALL (2010)

Measurement or surveillance? Four questions

Purpose

Is the data used to support work, or to control people beyond the stated purpose?

Proportion

Is what is collected proportionate to the purpose?

Visibility

Do employees know what is collected and how it is used?

Power

Can employees question it, or only submit?

EXAM LENS

Ball’s overview: workplace surveillance spans performance, behavior and personal characteristics, and raises questions of privacy, power and trust. The same data can be measurement or surveillance depending on these four (Course framing).

THEORY IN DEPTH · NISSENBAUM (2004)

Privacy as contextual integrity

The core idea

Privacy is the appropriate flow of information according to the norms of its context. A flow violates privacy when it breaks those norms, even if the data were never secret and even with nominal consent.

The test

1 The context: where and why it was shared. 2 The norms: who may receive it, for what purpose. 3 Does the new flow fit? Managers seeing performance data is expected; predicting health from absence patterns is not.

Limits

Norms differ and change; deciding which context governs can be contested.

Four kinds of collection

Explicit (forms, surveys) · passive (logins, email metadata) · ambient (sensors, cameras, badges, wearables) · inferred (traits or risks derived by analysis). Employees cannot consent to inferences they do not know about.

Balancing tests

Proportionality to a legitimate need; the least invasive means; accountability through audits; employee participation in data governance.

THEORY IN DEPTH · FOUCAULT (1975); ZUBOFF (2019)

Being watched changes behavior

The core idea

The panopticon: people who might be watched at any time discipline themselves.

How it works

Zuboff: digital systems collect behavioral data and use it to predict and shape behavior.

Limits and critique

Monitoring can also protect workers, for example by documenting unsafe workloads.

IN PRACTICE

An employee app that logs every click can become a panopticon unless purpose limits are written in.

EXAM LENS

Balance the critique: show both the disciplinary risk and the protective potential of monitoring.

THEORY IN DEPTH · ARTICLE 29 WORKING PARTY (2017)

Consent at work is rarely free

The core idea

European regulators concluded that employees are seldom able to give free consent, given their dependence on the employer.

How it works

Employers should rely on other lawful grounds, with notice, necessity and proportionality.

Limits and critique

This is European guidance; India's DPDP Act takes a different route, through certain legitimate uses.

IN PRACTICE

Even under DPDP Section 7, employers should explain purposes plainly and avoid collecting what they do not need.

EXAM LENS

Comparing the European and Indian approaches is a strong way to show critical, contextual analysis.

DPDP ACT 2023 · CHECKED AGAINST THE ACT

What the law asks of an employer handling staff data

Section	What it provides
4, 5, 6	Grounds: consent or certain legitimate uses; notice; consent must be free, specific, informed, unconditional and unambiguous
7(i)	Employment purposes, benefits an employee asks for, and safeguarding the employer against loss or liability: not a license for any use
8	Accuracy and completeness for decisions, reasonable security safeguards, breach reporting to the Board and each person affected, erasure when the purpose ends
10	Data Protection Officer and impact assessments for Significant Data Fiduciaries only, as notified by government
11 to 14	Rights to information, correction and erasure, grievance redress and nomination
16	Transfers abroad allowed except to countries the government restricts

EXAM LENS

Penalties run up to ₹250 crore for failing to take reasonable security safeguards. The Act sets a legal floor; contextual integrity asks whether a use is appropriate. Unions and commentators argue for a narrow reading of employment purposes.

Common errors, and when the Act binds

No portability right

The Act gives no right to data portability; the rights are in Sections 11 to 14.

No general DPO duty

Only Significant Data Fiduciaries must appoint a DPO and run impact assessments (Section 10), not every large employer.

No standard clauses

Transfers abroad are allowed except to restricted countries (Section 16); the basis is “certain legitimate uses”, not GDPR style legitimate interests.

Commencement

Passed 11 August 2023; Rules notified November 2025, bringing the Data Protection Board into force; Sections 4 to 16 bind employers from 13 May 2027.

Corrections to the course’s Unit 2 teaching note, checked against the Act and the DPDP Rules 2025 as recorded in the course hub.

FOUR ETHICAL LENSES

One question each

Utilitarian

Judge by outcomes: faster, cheaper, more consistent screening against bias, opacity and dehumanization. Weakness: harm to a minority can be outweighed by aggregate gains.

Deontological

Judge by duty: would we accept this practice as a universal law? Continuous monitoring of all employees fails this test whatever its productivity gain.

Rights based

Some rights cannot be traded for welfare: privacy, due process (explanation and appeal), nondiscrimination, dignity.

Virtue ethics

Cultivate practical wisdom, justice, compassion, humility and courage for dilemmas no rule anticipates; professional codes help but lag technology.

Course’s Unit 2 teaching note, drawing on Mill (1863), Kant (1785), Rawls (1971) and Aristotle.

HOFSTEDE, HOFSTEDE AND MINKOV (2010)

Tools carry the culture of the place that built them

Dimension	India	What it means for HR technology
Power distance	77	Top down endorsement works better than bottom up; self service may fail because staff expect a supervisor to approve first
Individualism	48	Pair individual and team dashboards
Masculinity	56	Some competitive features motivate
Uncertainty avoidance	40	Open to new tools, though support still matters
Indulgence	26	Restraint: professional rather than playful design

EXAM LENS

National scores describe averages; organizations and people vary widely. Applying them to individuals is the ecological fallacy: use them to question a tool’s assumptions, not to stereotype.

IMPORTED TOOLS CARRY IMPORTED ASSUMPTIONS

Culture modifies adoption, and glocalization answers it

Test every assumption

Language: English only interfaces exclude. Device: many frontline workers are smartphone only, some feature phone only. Self service culture: desk time, an email address and confidence to act without a manager.

Culture modifies TAM and UTAUT

Usefulness is judged by team benefit in collectivist settings; manager opinion dominates social influence under high power distance; ease of use matters most where uncertainty avoidance is high.

Glocalization

A global core (data model, security, integration, core workflows) with a local periphery (interfaces, communication, support). Use cultural advisory boards, diverse pilot sites and configuration rather than custom code.

Teaching note points draw on Hofstede (2001) and Robertson (1995).

THE DIVIDE AS AN ETHICAL ISSUE

Excluded means unrecorded; unrecorded means unserved

Who is left out

Staff without devices, data, skills or the language of the tool.

What exclusion costs

Slower service, missed information, weaker voice. People systems do not reach generate no usage data, so they generate no business case and stay excluded.

What fairness requires

Design for the least connected, offer alternatives, measure coverage as a metric in its own right, and gather evidence deliberately from those absent.

EXAM LENS

An HR tool that only some can use redistributes advantage; Week 5 develops the theory.

MANUTI AND DE PALMA (2018)

A critical management lens on digital HR

The critical middle

Human capital is the source of advantage, so tools are judged by whether they put people first. Neither magic solution nor mere restriction: what matters is how people and organizations use them.

The risk they name

Uncritical use invites “acritical passivization”: passive acceptance of what the technology suggests; also isolation, depersonalization, new job demands and a digital, cognitive divide.

What makes adoption work

In their social collaboration case, engagement and collaboration rose when management backed clear, negotiated objectives and employees were treated as subjects of technology, not objects.

COURSE FRAMING

Questions this course adds: does the tool increase control more than autonomy? Does it shift work onto employees unrecognized? Does it make some workers more visible and others invisible? Who was consulted in its design?

APPLY

Three data ethics ground rules

Rule 1 · Purpose first

No people data is collected without a written purpose, and none is reused for another purpose without review. Hardest to enforce: purposes drift quietly unless someone owns a register of data uses.

Rule 2 · No individual scoring without review

No individual score (flight risk, productivity) is used in a decision about a person without a human who can overrule it and an explanation the person can see.

Rule 3 · Reach before rollout

No HR tool goes live unless it works on a smartphone in the employee’s language, or an assisted alternative exists.

Course framing; the Lesson Plan’s Week 3 consolidation task.

APPLY

An engagement analytics tool from abroad

Teaching case (Course framing)

An Indore manufacturer buys an imported tool that analyzes employee emails and chat to score engagement, and adds public peer ratings after every project. Joining papers say data may be used “for HR purposes”. Shop floor staff have no company email; managers expect approvals to go through them.

Work it through

1. Apply contextual integrity to the email analysis.
2. Is this measurement or surveillance? Use the four questions.
3. What does the DPDP Act require, and what does it not settle?
4. Which cultural assumptions does the tool make?

COMMON CONFUSIONS

Tempting readings, and better ones

A tempting reading	A better reading
Consent in joining papers covers any HR use	Contextual integrity asks whether each new flow fits its context
If it is legal, it is ethical	The DPDP Act sets a floor; appropriateness is a further question
A good tool works the same everywhere	Tools carry cultural assumptions that affect adoption
The DPDP Act gives a portability right and requires every employer to appoint a DPO	Neither: see Sections 10 to 14

COMPARE AND EVALUATE

Eight lenses on the ethics of HR data

Lens	Question it answers	Watch out for
Nissenbaum (2004)	Is this flow appropriate to its context?	Contested contexts
Ball (2010)	Measurement or surveillance?	Needs evidence of purpose and power
Foucault (1975)	How does watching discipline?	Can miss protective uses
Zuboff (2019)	Who profits from behavioral data?	Can underplay benefits *
Article 29 WP (2017)	Can consent at work be free?	European, not Indian, law
DPDP Act 2023	What must an employer do?	A floor, binding from May 2027
Hofstede et al. (2010)	Whose culture does the tool assume?	Ecological fallacy
Manuti and de Palma (2018)	Subjects or objects of technology?	More optimistic than labor process critiques

* Course framing.

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse (1 of 2)

An Indian IT services firm plans to monitor keystrokes and chat to measure productivity of remote staff. Using contextual integrity, Ball’s account of workplace surveillance, the DPDP Act and Hofstede’s dimensions, evaluate the plan and propose an alternative. **20 marks**

A strong answer: applies contextual integrity to the flows; uses purpose, proportion, visibility and power; states the DPDP requirements and their limits; considers cultural fit and proposes a proportionate alternative.

“People analytics and workplace surveillance are one capability.” Critically discuss, with reference to the monitoring ladders, contextual integrity and the DPDP Act 2023. **20 marks**

A strong answer: explains why the capability is shared; locates uses on the ladders; applies Nissenbaum and Foucault or Zuboff; uses DPDP principles to propose governance.

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse (2 of 2)

Why is consent a weak basis for processing employee data? Compare the European and Indian approaches. **20 marks**

A strong answer: explains power asymmetry, bundling and purpose drift; contrasts Article 29 guidance with DPDP Section 7; recommends alternatives.

Using Hofstede, explain why an imported self service HR tool may fail in an Indian organization. **10 marks**

A strong answer: applies power distance correctly and notes the limits of national scores.

CARRY THESE INTO THE EXAMINATION

Four things to remember

1. **Analytics and surveillance are one capability.**
   Collect narrowly, state purpose, limit retention, allow review.

2. **Consent at work is the beginning, not the end.**
   Contextual integrity judges each new flow.

3. **The law is a floor.**
   Know what the DPDP Act provides, what it does not, and when it binds.

4. **Ask who is missing, and whose culture the tool assumes.**
   Excluded groups vanish from the evidence base.

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

- Manuti, A., & de Palma, P. D. (2018). *Digital HR*, Chapter 3 (the cognitive technology revolution and HR practices) and Chapter 6 (Conclusion).
- DPDP Act 2023: orientation note on employee data principles.

NEXT WEEK

- Bondarouk, Parry and Furtmueller (2017). Electronic HRM: Four decades of research.

> **NOTE**
> The other works named in this lecture are theory sources for reference, not set readings.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture

- Article 29 Data Protection Working Party. (2017). *Opinion 2/2017 on data processing at work* (WP 249). European Commission.
- Ball, K. (2010). Workplace surveillance: An overview. *Labor History, 51*(1), 87 to 106. https://doi.org/10.1080/00236561003654776
- Foucault, M. (1977). *Discipline and punish: The birth of the prison* (A. Sheridan, Trans.). Pantheon Books. (Original work published 1975)
- Government of India. (2023). *The Digital Personal Data Protection Act, 2023* (Act No. 22 of 2023).
- Hofstede, G. (2001). *Culture's consequences* (2nd ed.). Sage.
- Hofstede, G., Hofstede, G. J., & Minkov, M. (2010). *Cultures and organizations: Software of the mind* (3rd ed.). McGraw Hill.
- Manuti, A., & de Palma, P. D. (2018). *Digital HR: A critical management approach to the digitilization of organizations*. Palgrave Macmillan.

Sources for this lecture (continued)

- Nissenbaum, H. (2004). Privacy as contextual integrity. *Washington Law Review, 79*(1), 119 to 157.
- Rawls, J. (1971). *A theory of justice*. Harvard University Press.
- Robertson, R. (1995). Glocalization. In M. Featherstone, S. Lash, & R. Robertson (Eds.), *Global modernities* (pp. 25 to 44). Sage.
- Zuboff, S. (2019). *The age of surveillance capitalism*. PublicAffairs.
- Also named in the ethical lenses: Mill, J. S. (1863), *Utilitarianism*; Kant, I. (1785), *Groundwork of the metaphysics of morals*; Aristotle, *Nicomachean ethics*.